

India and Its Manufacturing Story

Research Report

Detailed Research Report Generated From Multiple Sources

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Executive Summary

Key Topics

- India
- Manufacturing
- Apple
- Will
- Credit
- Digital
- Growth
- Sector
- Ocen
- Such
- Demand
- Msmes
- Banks
- Industrial
- Small

Background Information

Timeline

Year	Mentions
2001	1
2020	1
2023	1
2024	2
2025	4
2026	2
2035	1
2047	1

Key Facts

- We won't sell or share your personal information to inform the ads you see.
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- For the past few days, Noida, UP, has been rocked by industrial workers' protests large enough to disrupt industrial functioning and civic life.
- The UP govt has already agreed to one of the main demands of the protesting and striking workers — an increase in the minimum wage rates.
- Like all stories, this too will eventually disappear from the news cycle.
- But like all events out of the ordinary rhythm of life, it gives us a chance for deeper reflection and an opportunity to change course for the better.
- Despite remarkable recent progress in some areas, such as smartphone assembly and semiconductors, India's manufacturing story has not yet caught the world's attention as did China's.
- As per the most recent labour force survey (2025), manufacturing accounts for 12% of our workforce (as much as construction, but much less than agriculture at 43%), and this number has not changed much for many years.
- When China was at our current level of GDP per capita (around 2001), its share was not too different from what ours is now (around 15%).
- But over the next 15 years, Chinese manufacturing boomed, and the share went up to nearly 30%.
- Even if manufacturing has not taken off, India has done well in terms of GDP growth by relying on services such as IT-BPO, banking, insurance, real estate, etc.
- But this growth has primarily benefited college degree holders (and that too not all of them).
- It has not created enough productive employment for nearly 80% of the workforce that is without higher education.
- The experience of economies that have successfully undergone a structural transformation shows that the expansion of manufacturing creates productive jobs for the average worker.
- It also enables other sectors to grow by creating demand for their output and through technology spillovers.
- Hence, it is not constrained by local demand conditions and can catch up faster to the global productivity frontier.
- Back in Noida, several of the industrial units here, as in other parts of the NCR industrial belt, are part of global supply chains, often manufacturing for multinational brands and procuring inputs from small and medium enterprises.
- These firms operate in a highly competitive environment where their bargaining power vis-à-vis their customers (other firms) is low.
- Add to this, costs imposed by poor-quality infrastructure and regulations, and employers find it easy to resort to wage cuts (or non-increases) to remain competitive.

- Since India has a large surplus labour force (a consequence of prior failures to create enough jobs), the pressures of the supply chain fall on the weakest link — workers.
- But the authoritarian ways in which labour was controlled in East Asian countries should not be the way we do it.
- It must be practised daily in the guaranteeing of freedoms (including the freedom to protest) and in the settling of differences through dialogue.
- The UP govt has come under criticism from employers for giving in too quickly to workers' demands.
- Elections are not far away in UP when relatively powerless workers will become powerful voters.
- Of all the election-time measures that govts take to support fragile livelihoods (think cash transfers), giving workers their due wages is the least open to any criticism.
- We should keep in mind that the wage rates under discussion are extremely low by any standard — around Rs 10,000 to 15,000 per month.
- The recent disruptions in LPG supply have triggered a serious livelihood crisis on top of the daily struggle to make ends meet.
- These are not people who will risk their jobs and incomes unless pushed to the edge.
- Despite the uncertainties of a deglobalising world, climate change, and AI, the manufacturing sector and global value chains are likely to remain important if India is to reach middle-income status by the time the republic completes a century.
- But competitive advantage does not come only from cheap labour.
- Far more sustainably, it comes from reliable public goods (affordable healthcare, transport, and housing to take three obvious examples), from well-managed and functional (not 'world class') infrastructure, and an enabling business environment.
- These allow employers to share productivity gains with workers in the form of better wages, which, in turn, increases productivity as well as demand for industrial output.
- Such virtuous circles are always behind the success stories.
- To be sure, both the central and various state govts have been taking steps in this direction.
- But alongside tangible investments in services and in people, we need a new mindset that does not treat democracy and development as contradictory ideas.
- We will be happy to have you on board as a blogger, if you have the knack for writing.
- Just drop in a mail at toiblogs@timesinternet.in with a brief bio and we will get in touch with you.
- have demonstrated their capability in achieving productivity and sustainability goals set by companies.
- To make India an Advanced Manufacturing Powerhouse by 2035, multiple policies like PLI, Make in India, India AI mission, DPDP act, Skill India mission, etc.
- However, India's manufacturing sector is shifting its focus from productivity to 'sustainability and innovation'.

Recent Developments

1. India's manufacturing story can't be built on cheap labour alone - The Times of India

The Times of India | 2026-04-18

We won't sell or share your personal information to inform the ads you see. You may still see interest-based ads if your information is sold or shared by other companies or was sold or shared previously. For the past few days, Noida, UP, has been rocked by industrial workers' protests large enough to disrupt industrial functioning and civic life. The UP govt has already agreed to one of the main demands of the protesting and striking workers — an increase in the minimum wage rates. Like all stories, this too will eventually disappear from the news cycle. But like all events out of the ordinary rhythm of life, it gives us a chance for deeper reflection and an opportunity to change course for the better. Despite remarkable recent progress in some areas, such as smartphone assembly and semiconductors, India's manufacturing story has not yet caught the world's attention as did China's. As per the most recent labour force survey (2025), manufacturing accounts for 12% of our workforce (as much as construction, but much less than agriculture at 43%), and this number has not changed much for many years. When China was at our current level of GDP per capita (around 2001), its share was not too different from what ours is now (around 15%). But over the next 15 years, Chinese manufacturing boomed, and the share went up to nearly 30%. Even if manufacturing has not taken off, India has done well in terms of GDP growth by relying on services such as IT-BPO, banking, insurance, real estate, etc. But this growth has primarily benefited college degree holders (and that too not all of them). It has not created enough productive employment for nearly 80% of the workforce that is without higher education. The experience of economies that have successfully undergone a structural transformation shows that the expansion of manufacturing creates productive jobs for the average worker. It also enables other sectors to grow by creating demand for their output and through technology spillovers. Finally, manufacturing is a tradable sector, i.e. every manufacturing industry is potentially an exporter. Hence, it is not constrained by local demand conditions and can catch up faster to the global productivity frontier. Most service industries do not share these properties. Back in Noida, several of the industrial units here, as in other parts of the NCR industrial belt, are part of global supply chains, often manufacturing for multinational brands and procuring inputs from small and medium enterprises. These firms operate in a highly competitive environment where their bargaining power vis-à-vis their customers (other firms) is low. Add to this, costs imposed by poor-quality infrastructure and regulations, and employers find it easy to resort to wage cuts (or non-increases) to remain competitive. Since India has a large surplus labour force (a consequence of prior failures to create enough jobs), the pressures of the supply chain fall on the weakest link — workers. None of these problems is unique to India. But the authoritarian ways in which labour was controlled in East Asian countries should not be the way we do it. We justly take pride in our democracy. But democracy is not limited to periodic elections. It must be practised daily in the guaranteeing of freedoms (including the freedom to protest) and in the settling of differences through dialogue. We need a solution that works for our unique situation. The UP govt has come under criticism from employers for giving in too quickly to workers' demands. From another perspective, this is democracy doing its work. Elections are not far away in UP when relatively powerless workers will become powerful voters. Of all the election-time measures that govts take to support fragile livelihoods (think cash transfers), giving workers their due wages is the least open to any criticism. We should keep in mind that the wage rates under discussion are extremely low by any standard — around Rs 10,000 to 15,000 per month. The recent disruptions in LPG supply have triggered a serious livelihood crisis on top

of the daily struggle to make ends meet. These are not people who will risk their jobs and incomes unless pushed to the edge. So, what is the way forward? Despite the uncertainties of a deglobalising world, climate change, and AI, the manufacturing sector and global value chains are likely to remain important if India is to reach middle-income status by the time the republic completes a century. But competitive advantage does not come only from cheap labour. Far more sustainably, it comes from reliable public goods (affordable healthcare, transport, and housing to take three obvious examples), from well-managed and functional (not 'world class') infrastructure, and an enabling business environment. These allow employers to share productivity gains with workers in the form of better wages, which, in turn, increases productivity as well as demand for industrial output. Such virtuous circles are always behind the success stories. To be sure, both the central and various state govts have been taking steps in this direction. More needs to be done. There are no shortcuts here. But alongside tangible investments in services and in people, we need a new mindset that does not treat democracy and development as contradictory ideas. A worker and a voter are the same person, after all. Interested in blogging for timesofindia.com? We will be happy to have you on board as a blogger, if you have the knack for writing. Just drop in a mail at toiblogs@timesinternet.in with a brief bio and we will get in touch with you.

2. Capital goods boom, apparel bust: India's manufacturing growth is concentrated where it creates the fewest - The Economic Times

The Economic Times | 2026-05-15

(Catch all the Business News , Breaking News , and Latest News Updates on The Economic Times .)

3. India's Solar Manufacturing Boom: Growth Story or Bubble in the Making? - Energetica India Magazine

Energetica India Magazine | 2026-02-26

With module capacity far outpacing domestic demand, India must now confront overcapacity head-on while strengthening upstream integration to secure long-term self-reliance and global competitiveness. Transformers to Power Energy Future as Grid Modernisation Accelerates, Says Satyen Mamtara Future of Renewable Infra Will Be Built on Resilient Structures, Not Cheapest Ones: Vedant Goel AI, Digitalisation Will Drive Next Phase of India's Energy Transition: Schneider's Udai Singh Iron-Air Batteries Can Power India's Renewable Ambitions: Stuti Kakkar, Meine Electric India's EV Future Depends on Highway Charging Corridors: Kartikey Hariyani, ChargeZone

4. As Industry 4.0 Rises, Women Redefine India's Manufacturing Workforce - Realty Plus Magazine

Realty Plus Magazine | 2026-04-01

As Industry 4.0 Rises, Women Redefine India's Manufacturing Workforce Realty Plus Magazine

5. How privatisation is rewriting the story of the space sector workforce in India - Manufacturing Today India

Manufacturing Today India | 2026-01-24

6. How technology is reshaping India's manufacturing story - Express Computer

Express Computer | 2025-12-23

By Vinod Kumar, Partner and Leader – Manufacturing Sector, PwC India, and Ankur Basu, Partner, One Consulting, PwC India The manufacturing sector, considered to be the fulcrum of India's journey to Viksit Bharat 2047, is adopting advanced technologies to modernise the way plants are run, and goods are produced. Digital twin, Robotics, Drones, Additive manufacturing etc. have demonstrated their capability in achieving productivity and sustainability goals set by companies. To make India an Advanced Manufacturing Powerhouse by 2035, multiple policies like PLI, Make in India, India AI mission, DPDP act, Skill India mission, etc. will provide much needed impetus. However, India's manufacturing sector is shifting its focus from productivity to 'sustainability and innovation. What was once an efficiency-led system is now evolving into an intelligence-led ecosystem powered by advanced technologies, real-time data and a more holistic approach to competitiveness. With the sector's priorities now expanding, Manufacturing is moving beyond traditional boundaries. — building on PwC's "Value in Motion" framework, the sector is embracing the seamless flow of capital, talent, and technology across industries to unlock new growth opportunities. The forces driving this shift are primarily AI and Industry 4.0, with an eye now on the emerging Industry 5.0 era. According to our report, Decoding the Fifth Industrial Revolution , a commanding 93 percent of Indian manufacturers are embracing this next industrial age to blend sustainability with profitability. Industry 5.0 adoption is projected to lift revenues by over 6% in the next one to two years. More than half of manufacturers are already investing in lifelong learning and upskilling, underpinning a genuine bet on people as central players in this transformation. Within this evolving landscape, five major shifts are shaping manufacturing in 2025: Movement from experimentation to scale-up: AI-led use cases that were piloted only last year have now transitioned into core production environments. Companies across both discrete and process industries are already seeing benefits linked to improved uptime, better quality and reduced wastage. Rise of digital twins: Manufacturers are increasingly creating virtual models of plants and processes to support better design and decision-making. These simulations make it easier to test multiple scenarios, optimise operations and reduce development time. Workforce transformation and upskilling: With rapid technological adoption, companies are prioritising skill development to ensure their workforce remains future-ready. The growing convergence of OT and IT is also pushing organisations to build digital capabilities across all levels of the shop floor. Cybersecurity: As OT-IT convergence becomes the norm, manufacturing companies are investing heavily in secure-by-design systems and AI-enabled threat prevention. Protecting industrial environments has become a strategic priority as digital connectivity expands. Sustainability as a strategic imperative: ESG goals are no longer limited to reporting requirements; they are now deeply integrated into core business operations. Manufacturers are leveraging digital platforms to support decarbonisation, energy efficiency, safety and product quality—areas where digital maturity has grown substantially. In addition to these broad shifts, several key technology trends continue to shape the sector's transformation. AI remains at the forefront for improving productivity, quality and demand forecasting. IoT, manufacturing execution system (MES) and product lifecycle management (PLM) platforms are strengthening on time in full (OTIF) performance, enhancing inventory optimisation and supporting stronger quality control. Digital twins are being used extensively both in operational efficiency and new product development. Cybersecurity remains foundational as digital adoption expands. And energy management systems are emerging as essential tools for real-time tracking and optimisation. Looking ahead, the year 2026 will bring its own wave of

developments that manufacturers should prepare for. Agentic AI use cases will begin to scale, offering new forms of autonomy in production workflows. Private 5G deployments will increase, enabling richer edge analytics across modern plants. Generative product design will accelerate R&D cycles. Clean-tech manufacturing will intensify as sustainability targets expand. Digital twins will become even more pervasive, influencing not just plant operations but product ecosystems end-to-end. India's growth story is increasingly powered by a strong and forward-looking manufacturing sector. From electronics to steel, the rise of modern industrial clusters reflects the effectiveness of supportive policies and a rapidly maturing ecosystem. As technology becomes deeply integrated with workforce capabilities, organisations will find themselves better positioned to differentiate in global markets. The year 2026 will favour companies that scale their technologies, invest in modern capabilities and stay aligned with emerging regulations—bringing India closer to its ambition of becoming a global manufacturing leader.

7. Opinion | The Myth Of India's 'Manufacturing Failure' - News18

News18 | 2025-12-11

A closer look at the data reveals that India's manufacturing story is far stronger — and more misunderstood — than critics claim. India's manufacturing, electronics exports, and semiconductor growth are reshaping its economy, as explored in Prasenjit K. Basu's 'India Reborn'.

8. iPhone craze deepens in India: Younger buyers, strong channels and manufacturing push to fuel multi-year... - Moneycontrol.com

Moneycontrol.com | 2025-11-18

Apple's India story is shifting into a higher gear. The company is expected to sustain strong double-digit growth for the next 3–4 years, driven by surging iPhone demand and a rapidly expanding ecosystem of MacBooks and iPads. This momentum will be reinforced by a growing offline retail network, a wider premium reseller base and an expanding manufacturing and supply-chain ecosystem, analysts and sources told Moneycontrol. The iPhone maker's India revenue climbed 18.26% in the fiscal ending March 2025 to Rs 79,378 crore, up from Rs 67,121 crore in FY24, according to fresh RoC filings shared by Tofler. Net profit rose 16.4% to Rs 3,196 crore, and analysts expect FY26 and FY 27 to deliver growth in a similar range. With iPhones already commanding an 9% volume share and a 28% value share in the Indian smartphone market, analysts say Apple's next leg of growth will come from deepening demand in Tier-2, Tier-3 and smaller cities. Rising sales of MacBooks, iPads and AirPods — combined with a fast-growing network of Apple stores and premium resellers — is further accelerating the company's India momentum, analysts and industry sources told Moneycontrol. "The 18% growth in FY25 looks softer only because the base is bigger. Apple's installed user base has expanded sharply, and with a 9% market share, India is now its third-largest market," said Tarun Pathak, research director at Counterpoint. "Apple is firmly in the top five, and its revenue growth will remain in double digits for the next few years. Value-wise, it remains number one among handset makers." Apple entered India's top five smartphone makers by volume in Q3 2025, with the country becoming its third-largest iPhone market, Counterpoint data shows. The brand led the premium-segment value share at 28%, up from 22% in 2024, fuelled by strong demand for the iPhone 16 and 15 series. The iPhone 17 launch has already outpaced the early demand of its predecessor. While iPhones continue to drive most of Apple's India momentum, ecosystem products are contributing significantly. "Users are buying deeper into the ecosystem. Upgrade momentum is strong, and sentiment remains intact," Pathak added. Analysts and industry sources said Apple is widening its premium reseller network to tap offline retail growth, complementing its own exclusive stores. The company will open a new flagship Apple store in Noida this

December, after recently launching outlets in Bengaluru and Pune. It has previously opened stores in Mumbai and Delhi. "Festive demand was strong, and we're seeing rising iPhone sales in Tier-2, Tier-3 and smaller markets," Pathak said. "To sustain this trend, Apple will need to target smaller retailers that currently have limited product availability." Apple posted its highest-ever India revenue for the September quarter, contributing to its strongest global results yet, with total sales reaching \$102.5 billion. The quarter marked Apple's 14th straight period of record iPhone sales in India, driven by continued retail expansion and increased local manufacturing. "We also set a September-quarter revenue record in emerging markets, and an all-time revenue record in India," CEO Tim Cook said during the company's earnings call. Analysts said Apple's expanding installed base is also driving demand for devices such as the Apple Watch, iPad and Mac, strengthening its ecosystem in India. This comes at a time when iPhone demand shows no signs of slowing — at least for the next 18–20 months — with a new wave of younger buyers driving adoption. Sources said that Apple's momentum is equally visible in its growing manufacturing story in India, as its supplier ecosystem expands amid efforts to diversify its supply chain beyond China. The company's unit, Apple Operations India Private Limited (AOIPL) established in 2023, is at the center of this expansion. The unit supports Apple's manufacturing operations and expansion in India inline with its global practice where it set up similar units for drive manufacturing scale. The entity takes care of procuring engineering equipment, leasing facilities, employing engineers for R&D hardware activities and providing failure analysis services to Apple group companies, sources told Moneycontrol. "AOIPL is a sign of Apple's commitment to manufacturing operations in India. It's just in its second year of operations and shows that things will move faster from now," sources added. Several partners are expanding operations, while others have begun trial production or started exporting from new facilities. Singapore-based TD Connex, which already operates a plant in Oragadam, Tamil Nadu, is planning a Rs 200-crore investment to expand its micro-precision component facility with capabilities including CNC machining, plastic injection, metal stamping, liquid silicone rubber and moulding for smartphone housings, sources said. Yuzhan Technology, which recently started operations at its display-module assembly unit in Tamil Nadu, has begun exporting display modules assembled there to Foxconn factories outside India for certain iPhone models. Karnataka-headquartered Aequs has been formally onboarded as a vendor in Apple's global supply chain and has begun trial production of MacBook enclosures and mechanical components for Apple watches. "It is more of a pull than a push. More vendors will start applying and scaling in India. Over 45 companies are involved. Further expansion will depend on the scale of the iPhone ecosystem, and as Apple adds more products to its India manufacturing story, it will only grow," said a source familiar with the market. Apple's supplier base remains concentrated in southern India due to the presence of critical supply-chain capabilities and skilled labour. Apple is also engaging with Indian firms to explore joint ventures with Chinese, South Korean, Taiwanese and Japanese companies for the local production of critical components such as displays and camera modules. The company now has 45 suppliers in India, including smaller assembly players. The tech giant is increasing the local content in its India-made iPhones, aiming to match Chinese production levels over the next two to three years. Beyond components, Apple is rapidly expanding its supply chain by sourcing manufacturing machinery domestically. About 35 companies already build such machinery in India, with nearly half supporting Apple, Moneycontrol reported on September 24. Apple plans to significantly increase this number over the next two to three years. Major machinery suppliers include Titan Engineering and Automation Ltd (TEAL), Jyoti CNC Automation, Bharat Forge and Wipro, along with several smaller non-Chinese firms that have set up facilities in India. Apple is working closely with these firms to reduce logistical risks, lower operational costs and build a more resilient supply chain. The secondary market is also strong, with high demand for refurbished and second-hand iPhones, and younger buyers — some as young as 11 — joining the Apple ecosystem, often purchasing an iPhone as their first personal device. Discover the latest Business News , Sensex , and Nifty updates. Obtain Personal Finance insights, tax queries,

and expert opinions on Moneycontrol or download the Moneycontrol App to stay updated! Find the best of AI News in one place, specially curated for you every weekend.

9. India's Manufacturing Momentum: Performance and Policy - PIB

PIB | 2025-09-19

India's Manufacturing Momentum: Performance and Policy PIB

10. MSME Financing: The Missing Link In India's Manufacturing Story - Swarajyamag

Swarajyamag | 2025-07-18

India's aspiration to become a global manufacturing powerhouse hinges significantly on its Micro, Small, and Medium Enterprises (MSMEs). Contributing nearly 30% of GDP and employing over 110 million people, MSMEs are central to the vision of Atmanirbhar Bharat and Make in India. Yet, a persistent credit gap continues to hamper the sector, posing serious challenges to industrial growth. The Credit Puzzle: Despite their economic importance, only 11%–20% of MSMEs have access to formal credit. While schemes like the Production-Linked Incentive (PLI) support large-scale manufacturers, MSMEs often struggle to secure basic funding. One key challenge is the structural mismatch between how banks operate and how MSMEs conduct business. Many small enterprises, especially in rural and semi-urban areas, are cash-driven, informally structured, and lack formal financial documents such as GST filings or audited balance sheets. Loan application processes often mirror those designed for large companies, involving extensive paperwork and lengthy timelines, burdensome for both banks and borrowers. Ground Realities: Take Ramesh, a small entrepreneur in Aurangabad. He needs a ₹3 lakh loan to buy a new machine. Without a GST number or formal records, his application becomes a protracted ordeal, with demands for collateral and guarantors, often leading to delays of months. For many like him, formal credit remains out of reach. Why Banks Hesitate: Traditional banks face a difficult choice. Processing a ₹5 lakh loan involves similar overheads as a ₹50 lakh loan, but with far lower returns. This disincentivises banks from engaging with small-ticket borrowers. As a result, even schemes like the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE), meant to offset lender risks, face limited uptake. Informal, Yet Indispensable: India's MSMEs are not non-compliant by choice. They operate in traditional formats: trust-based transactions, cash payments, and verbal contracts. Though efforts like Udyam registration and GST onboarding are improving formalisation, over 70% of transactions remain cash-based. Many small units do not have access to reliable internet, making digital bookkeeping impractical. The Credit History Conundrum: A significant barrier is the absence of a credit history. Without prior loans, many MSMEs are considered "high risk". But without access to credit, they cannot build a history, creating a vicious cycle. Digital lenders, while faster, often charge unsustainable interest rates, and even co-lending models have not significantly bridged the gap. Lack of Collateral: Most small businesses do not own assets such as land or buildings that can be pledged. This restricts their ability to access traditional loans, reinforcing the cycle of credit exclusion. OCEN: A Vision in Transition: The Open Credit Enablement Network (OCEN), launched in 2020, was envisioned as a digital revolution for MSME lending. Backed by India's Digital Public Infrastructure (DPI), OCEN aimed to provide easy, collateral-free loans using digital trails such as UPI, GST, and Aadhaar-linked data. The Ambition: OCEN's core goal was to enable small loans with minimal paperwork. The idea, as stated by its proponents, was simple: let a street vendor access ₹5,000 in the morning and repay it by evening, thereby building a credit footprint. By leveraging India's digital public infrastructure, such as UPI, Aadhaar, and GST, OCEN aims to make credit accessible to even the

smallest entrepreneurs, including street vendors. Limited Adoption: A significant share of MSMEs lack the digital footprint required, such as GST filings or formal bank records, to benefit from OCEN. Digital Literacy Gap: Many small business owners are not fluent in using apps or online platforms. Surveys found that over two-thirds of micro-entrepreneurs in tier-3 towns were unaware of OCEN. Lender Reluctance: Banks fear margin pressures and operational challenges. They cite high costs and lack of reliable data as deterrents. Banks worry that if borrowing becomes a matter of plugging into an API network, their returns on these loans will shrink. Without clear incentives (such as relaxed regulation or guaranteed support), most banks prefer to continue with traditional business or internal fintech partners. Indeed, only “five public and private lenders” were reported as actively using OCEN by late 2024. OCEN’s architects, including Nandan Nilekani, have acknowledged these challenges and are working on solutions such as simplified KYC, lender incentives, and partnerships with NGOs for digital education. Still, critics argue that while the tech framework is solid, execution requires stronger policy support and on-ground outreach. The CGTMSE scheme, launched to offer credit guarantees on MSME loans, has seen impressive numbers. Guarantee approvals rose from ₹1 lakh crore in FY23 to ₹2 lakh crore in FY24. The average loan size also increased, but challenges remain. Partial Coverage: Most guarantees cover only 75–85% of the loan, leaving residual risk with banks. Delayed Settlements: Claims that should close in 30 days often take months, discouraging banks from lending more under the scheme. Complex Compliance: Extensive documentation and procedural checks limit its reach, especially for new and first-time entrepreneurs. Despite the uptick in sanctioned loans, many are small and driven by priority sector lending (PSL) targets rather than genuine credit expansion. Some banks reportedly use CGTMSE loans to meet quotas rather than actively support MSME growth. CGTMSE’s own CEO acknowledged that priority sector targets largely drove MSME credit growth: “credit flow to this segment has been mainly thanks to the priority sector lending targets... despite the low NPA percentage and higher margins for the lenders”. While large manufacturers benefit from headline-grabbing schemes like PLI, with subsidies, tax breaks, and easy credit, MSMEs struggle with basic financing. This disparity risks creating a two-speed industrial economy: large firms racing ahead, while small businesses remain stuck. The cost of this gap is visible. In FY2023, over 13,000 MSMEs shut down — many due to a lack of timely finance. These closures represent more than just lost businesses; they mean lost jobs, output, and innovation. For India to achieve true industrial self-reliance, MSMEs must be empowered with accessible and timely credit. Here are five key steps to consider: - Formalisation-first approach: Expanding Udyam registration and mandating digital onboarding as a prerequisite for government benefits and building the data trails OCEN needs to work with would help in further reaching out about the cause. - Mandate and incentivise OCEN: Treating OCEN-enabled loans like PSL, offering higher risk weight relaxations, and linking them to credit guarantee cover would help in increasing the credit involvement of various institutions under the initiative. - Revamp CGTMSE: Making claim disbursement time-bound and automated, especially for smaller loans. Consider 100% guarantee coverage for loans of up to ₹5 lakh. This would help in maintaining cash flow for MSMEs when they sell on credit or are in need to expand. Making CGTMSE a direct product of public sector banks rather than an insurable product would also help in serving the true purpose of the scheme by distributing credit to reach the right consumers. - Bridge both initiatives: Merging CGTMSE and OCEN would help in greater reach to better support the cause of MSME financing. Using CGTMSE as the fund source and OCEN Network as the distribution channel. - Enhanced Monitoring and Grievance Redressal: Strengthen oversight of fraud (inspections, audits) to maintain confidence, but also provide a transparent grievance mechanism for banks facing unjust claim denials. India’s manufacturing dream cannot rest solely on the shoulders of large corporations. MSMEs form the foundation of economic resilience, employment, and grassroots innovation. By addressing their credit needs through thoughtful reforms in schemes like OCEN and CGTMSE, India can ensure that Make in India is not just a slogan.

Analysis

Metric	Value
articles	0
news	10
images	0
keywords	20
facts	40
characters	28419

Top Keywords

- india
- manufacturing
- apple
- will
- credit
- digital
- growth
- sector
- ocen
- such
- demand
- msme
- banks
- industrial
- small
- more
- iphone
- companies
- story
- these

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